

Japanese Bonds: What's Going On and Why You Should Care

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The TL;DR (Read This First!)

Japan's bond market is going through its biggest shake-up in decades, and it's sending shockwaves through global markets. Here's why this matters to anyone with investments anywhere:

- **Japan just broke a 30-year record** — The Bank of Japan raised rates to 0.75%, the highest since 1995
 - **Bond yields are spiking** — The 10-year JGB yield is around 2.27%, the 30-year hit nearly 4%
 - **This affects YOUR money** — Japanese investors hold \$1.1 trillion in US Treasuries alone. When Japanese bonds pay more, they might sell US assets to bring money home
 - **The “carry trade” is unwinding** — Traders borrowed cheap yen for years to invest elsewhere. That trade is reversing, causing volatility everywhere
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Part 1: What Are Japanese Government Bonds (JGBs)?

Think of JGBs like an IOU from the Japanese government. When Japan needs money, it borrows from investors by selling bonds. In return, it promises to pay interest (the “yield”) and return the money later.

Types of JGBs by maturity: - 2-year bonds (short-term) - 5-year bonds - 10-year bonds (the benchmark everyone watches) - 20-year, 30-year, 40-year bonds (super-long term)

Why Japan's bonds are unique: - Japan has the highest debt-to-GDP ratio in the world — about **250%** - That means Japan owes 2.5 times more than its entire economy produces in a year - The Bank of Japan (BOJ) owns about **50% of all JGBs** — they've been buying their own debt for years

Part 2: Yield Curve Control (YCC) — What It Was and Why It Ended

From 2016 to March 2024, the BOJ ran something called **Yield Curve Control**. Here's what that means in plain English:

The Problem They Were Solving: Japan had deflation (falling prices) for decades. When prices fall, people delay purchases (“why buy today if it's cheaper tomorrow?”), which tanks the economy.

Their Solution — YCC: The BOJ essentially said “we won’t let the 10-year bond yield go above 0%.” Later they raised the cap slightly to 0.25%, then 0.5%, then 1%.

How did they do it? Whenever yields tried to rise, the BOJ would buy massive amounts of bonds to push yields back down. It was like putting a ceiling on interest rates.

Why did it end? - Inflation finally showed up (around 3-4%) - The yen was collapsing because Japan’s rates were so much lower than everyone else’s - Market function was deteriorating — the BOJ owned so many bonds that there was barely any trading

The BOJ officially ended YCC in March 2024 and started letting market forces determine yields. That’s why you’re now seeing yields at levels not seen in 17+ years.

Part 3: What’s Happening Right Now (January 2026)

The Headlines:

- **10-year JGB yield:** ~2.27% (was basically 0% a few years ago)
- **30-year JGB yield:** Hit 3.9% — the highest since these bonds were created
- **40-year JGB yield:** Over 4% — all-time high
- **BOJ policy rate:** 0.75% (30-year high, raised in December 2025)

Why Yields Are Rising:

1. **Prime Minister Takaichi’s fiscal plans** — She wants to suspend consumption tax and boost spending. Bond markets hate more government borrowing = yields spike
2. **BOJ signaling more rate hikes** — They’ve said rates could go to 1% by mid-2026 if inflation stays elevated
3. **End of the “widow maker” trade** — For years, betting against JGBs was called the “widow maker” because the BOJ always crushed shorts. Now those bets are actually working.
4. **Snap election uncertainty** — Japan’s having a lower house election in February 2026, creating political risk

Recent Timeline:

- **December 2025:** BOJ raises rates to 0.75% (30-year high)
 - **January 22-23, 2026:** BOJ holds rates steady ahead of election
 - **January 25, 2026:** Bond crash, Bloomberg reports “\$7 trillion risk for global markets”
 - **January 28, 2026:** 10-year yield hits 2.33%, 30-year approaches 4%
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Part 4: Why This Affects Global Markets

This is the crucial bit. Japan isn't just any country — it's the world's largest creditor nation and the third-largest economy.

The Carry Trade Explained (Simply)

For decades, this was a popular trade: 1. Borrow yen at 0% interest 2. Convert to dollars 3. Buy US assets (Treasuries, stocks) earning 4-5% 4. Pocket the difference 5. Repeat x billions

The problem now: If yen borrowing costs rise AND the yen strengthens, this trade blows up. Traders rush to: - Sell foreign assets - Buy yen to repay loans - This creates selling pressure on US bonds and stocks

August 2024 flashback: A mini carry trade unwind caused the S&P 500 to drop 6% in a few days. What's happening now is bigger.

Who Holds What?

Japanese investors own: - **\$1.1 trillion** in US Treasuries (biggest foreign holder) - Hundreds of billions in European bonds - Massive equity positions globally

If Japanese pension funds and insurance companies can suddenly earn 2-3% at home instead of abroad (with no currency risk), why wouldn't they bring money back?

Three Transmission Channels to US Markets:

1. **Relative Value Shift** — Japanese institutions reassess allocations as home yields rise
 2. **Direct Selling** — Need to raise yen? Sell foreign bonds
 3. **Risk-Off Contagion** — Volatility in one market spreads to others
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Part 5: What Could Go Wrong (The Scary Scenarios)

Scenario 1: Fiscal Crisis

Japan's interest payments could become unmanageable if yields stay elevated. At 250% debt-to-GDP, every 1% rise in yields costs the government enormously.

Scenario 2: Carry Trade Unwind Accelerates

If the yen strengthens sharply while yields rise, we could see a repeat of August 2024 — but bigger. Estimates suggest **\$4-7 trillion** in carry trade positions exist.

Scenario 3: Global Bond Selloff

Rising JGB yields put upward pressure on yields globally. If Japanese money flows home, other countries' borrowing costs rise too.

Scenario 4: BOJ Forced to Intervene

The BOJ might have to resume bond buying to prevent yields from spiking too fast. This would weaken the yen again, creating different problems.

Part 6: Expert Views & What Analysts Are Saying

Oxford Economics (Jan 2026): “We expect a final rate hike to 1% in mid-2026, but the bank could move earlier if the yen weakens further.”

Morningstar (Jan 2026): “An unwinding of the yen carry trade could threaten US stocks and bonds... Japanese institutions are reassessing incentives as home markets become more rewarding.”

J.P. Morgan (Jan 2026): “Fiscal fireworks — how debt is rewriting the rules for the US and Japan.”

Bloomberg (Jan 2026): “Japan Bond Crash Unleashes a \$7 Trillion Risk for Global Markets”

Part 7: Key Takeaways

1. **JGB yields at multi-decade highs** — 10-year around 2.27%, 30-year near 4%
 2. **BOJ ended yield curve control** — Market forces now determine rates
 3. **Carry trade risks** — Trillions of dollars in positions could unwind
 4. **Political uncertainty** — Snap election + expansionary fiscal plans
 5. **Global contagion** — Japanese money moving home affects everyone
 6. **Watch the yen** — Currency movements will signal carry trade stress
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Sources

- Bloomberg
- Reuters
- Trading Economics
- Bank of Japan Official Releases
- CNBC
- Morningstar
- Oxford Economics
- J.P. Morgan Research
- Japan Times
- Al Jazeera
- NHK World

This report was compiled by Atlas for Laura McKie. Questions? Just ask.